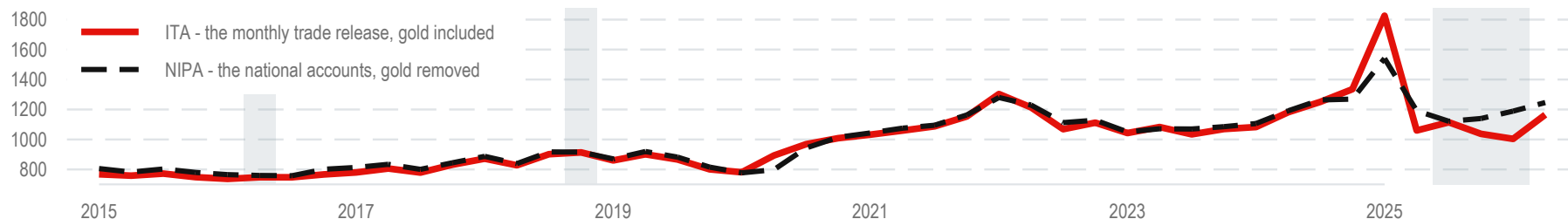


For three quarters running, two official measures of the US goods balance pointed in opposite directions

Same agency, same transactions. The only difference is whether bullion counts as trade

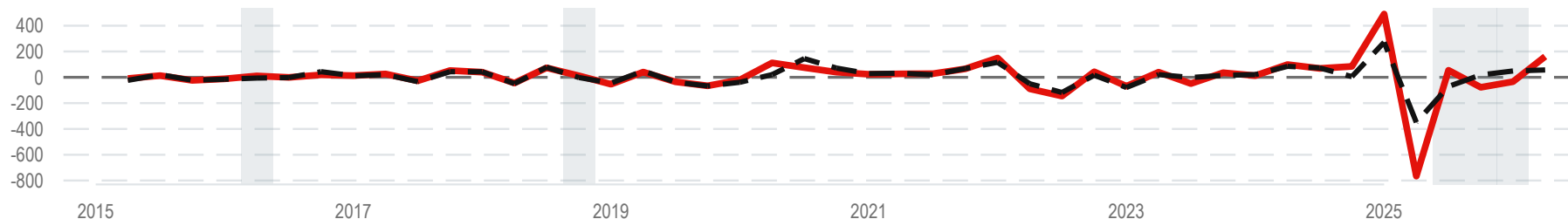
a. The same quarter's trade, measured twice

US goods deficit, \$bn at an annual rate. In 2025Q1 the two official measures were \$285bn apart



b. And in five quarters they disagree about which way it moved

Change in the goods deficit, \$bn. Shaded: quarters where one says widening and the other narrowing



BEA publishes the US goods balance twice: the International Transactions Accounts carry nonmonetary gold, the national accounts remove it and replace it with domestic production less industrial use. In normal times the two barely differ and nobody needs to know which they are reading.

THE LEVEL BREAK. In 2025Q1 the ITA goods deficit was \$1,826bn at an annual rate against NIPA's \$1,541bn - the same quarter's trade, \$285bn apart, or 18.5% of the NIPA figure. Four quarters later the gap had swung to -15.6%. That is a 34-point swing in the relative difference between two series describing the same thing, and it correlates 0.98 with net gold trade.

THE DIRECTIONAL BREAK IS THE SERIOUS ONE. A level gap can be netted out by anyone who knows it is there; a sign disagreement cannot. Five quarters since 2015 disagree about whether the deficit widened or narrowed, and not evenly. The two before 2025 are rounding - \$17bn and \$14bn on a deficit above \$700bn. The three since are six to nine times larger and consecutive: in 2025Q3 the ITA showed the deficit widening \$55bn while NIPA showed it narrowing \$71bn, and the next two quarters reversed that. For three quarters running, one official US measure said the external position was improving while the other said it was deteriorating.

Neither series is wrong. Each treatment is correct for its own purpose. The claim is that gold is large enough, and reverses fast enough, to drive a wedge between them that users cannot be expected to carry in their heads - and that the remedy costs nothing, because BEA already computes the adjustment. Publishing the goods balance on both bases in the monthly release would let a reader see the wedge at the moment they read the headline.

Source: Bureau of Economic Analysis, International Transactions Accounts and NIPA tables 1.1.5; US Census Bureau.